

IN THE SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Mr. Justice Yahya Afridi, CJ
Mr. Justice Naeem Akhter Afghan
Mr. Justice Shakeel Ahmad

Civil Appeals No. 140-K and 141-K of 2016

(Against the judgment dated 24.11.2015 of the High Court of Sindh at Karachi passed in HCA Nos. 44 and 68 of 2015)

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| 1. | Trading Corporation of Pakistan v. M/s Abdullah Mezroei Metal Trading Company and another | C.A.140-K/2016 |
| 2. | M/s Abdulla Mazroei Metal Trading Company and another v. M/s Trading Corporation of Pakistan (Pvt) Ltd. | C.A.141-K/2016 |

For the Appellant(s): (in C.A.140-K/2016) & For the Respondent (in C.A.141-K/2016)	Mr. Rafiq Ahmed Kalwar, ASC (via video link, Karachi)
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For the Appellant(s): (in C.A.141-K/2016) & For the Respondent (in C.A.140-K/2016)	Mr. M. Shaiq Usmani, Senior ASC Dr. Raana Khan, AOR (via video link, Karachi)
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Date of Hearing:	05.05.2026
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JUDGMENT

Yahya Afridi, CJ.- The present appeals arise out of a contractual dispute between the appellant, Trading Corporation of Pakistan (hereinafter referred to as “**TCP**”), and the respondent, M/s Abdulla Mezroei Metal Trading Company (hereinafter referred to as “the **Company**”), concerning the supply of urea, which has led to the filing of C.A. No. 140-K/2016 by TCP and C.A. No. 141-K/2016 by the Company.

Factual Background:

2. On 18.08.2005, TCP opened Tender No. Imp/Urea 24/05 inviting offers for the supply of urea. In pursuance thereof, the Company offered to supply 50,000 metric tons of urea at a price of US\$ 225 per metric

ton. This offer of the Company was accepted by TCP on 31.08.2005, culminating in terms of agreement between the parties (hereinafter referred to as the “**Contract**”). It would be useful to keep in mind the salient terms of the Contract, which in sum, were as follows:

(a) The Company was required to furnish a performance guarantee equal to 3% of the contractual value, within seven days of acceptance, binding it to the due and satisfactory performance of the contract.

(b) TCP was obliged to open a Letter of Credit (hereinafter referred to as “**LC**”) for the full contractual value, within ten days of receipt of the performance guarantee.

(c) The total contracted quantity was to be shipped in three consignments: the first within 15 days of the opening of the LC, the second within 22 days, and the third within 29 days. Time was expressly stated to be of the essence.

(d) The performance guarantee was liable to forfeiture in the event of failure to supply the goods within the stipulated period or upon breach of any contractual term, and, as stipulated in the performance guarantee bond, any grant of time or indulgence to the Company would not absolve it of liability thereunder.

3. Thus, under the Contract, the original contractual timeline stipulated: the performance guarantee was to be furnished by 07.09.2005; the LC to be opened by 17.09.2005; the first shipment to be effected by 02.10.2005, the second by 09.10.2005, and the final shipment by 16.10.2005. As events unfolded, it was noted that these timelines were not adhered to.

4. In parallel, and independently of the Contract, the Company had already, on 27.08.2005, entered into a back-to-back arrangement with Gates Transfercenter International (hereinafter referred to as the “**Supplier**”) for the procurement of 50,000 metric tons of urea, at a stage

when the contemplated contractual relationship with TCP was still in the process of being finalised. The arrangement was subsequently revised on 05.09.2005, when the parties amended their agreement to align it with the commitments of the Company under the Contract with TCP. Under the arrangement, the Company assumed the obligation to make an upfront payment of 30% of the contract value, amounting to US\$ 3,465,000/-, and further undertook to secure the balance 70% through a letter of credit to be opened upon receipt of an operative LC under the separate contractual arrangement. This arrangement, ultimately, did not proceed completion, and the advance amount stood forfeited on 04.10.2005.

5. Thus, the factual background of the events around and following the Contract has to be set out in some detail, in order to provide a complete and sequential account of the manner in which the contractual obligations were intended to operate, the extent to which the original timelines were altered subsequently, and the circumstances in which performance ultimately did not take place. This detailed narration is necessary to place the issues before us in their proper contractual and factual context. Hence, stated in chronological order:

<u>27.08.2005</u>	The Company entered into a contract with the Supplier for the supply of urea in anticipation of entering into a contract with TCP.
<u>31.08.2005</u>	TCP and the Company entered into the Contract.
<u>05.09.2005</u>	The contract between the Company and the Supplier is amended to state that the cargo was meant for TCP.
<u>13.09.2005:</u>	The Company furnished the performance guarantee to TCP.
<u>21.09.2005:</u>	TCP, in turn, opened the LC. The Company wrote to the Supplier informing that TCP had established LC in favour of the Company and issued instructions to ensure shipment of urea counted from this date.

- 24.09.2005:** The Company informed TCP that the LC contained certain discrepancies requiring correction. On the same date, the Supplier called upon the Company to arrange payment of the remaining 70% by opening letter of credit in its favour.
- 28.09.2005:** TCP ensured that the requisite Amendments to the LC were made; however, the amended LC was mistakenly transmitted to an incorrect bank.
- 04.10.2005** Due to the failure of the Company to open a letter of credit in its favour, the Supplier cancelled its contract with the Company and forfeited US\$ 3,465,000/.
- 06.10.2005:** The Company's advising bank received the operative LC.
- 08.10.2005:** The Company requested further amendments to clarify that the shipment timelines would run from the date of amendment, stating that vessel nomination was contingent upon an operative LC.
- 25.10.2005:** An amendment to this effect was issued. Consequent thereto, TCP expressly extended the shipment schedule: the deadline for the first shipment was extended up to 10.11.2005 and for the second shipment up to 15.11.2005, thereby granting an extension of approximately 25 days and 30 days respectively beyond the original contractual deadlines, while expressly reserving its right to forfeit the performance guarantee in the event of further non-performance.
- 15.11.2005:** Despite these indulgences, no shipment was made. By letter dated 15.11.2005, the Company attributed non-performance to an increase in global urea prices and shortage of supply, seeking a further extension of thirty days. This request was not accepted.
- 02.01.2006:** TCP cancelled the LC and encashed the performance guarantee.

Judicial remedial steps taken and orders passed

6. Following cancellation of the contract and encashment of the performance guarantee, the Company filed Suit No. 1059 of 2008. TCP sought referral to arbitration under Section 34 of the Arbitration Act, 1940, which application was ultimately allowed in appeal, resulting in the appointment of a Sole Arbitrator.

7. The learned Sole Arbitrator, vide Award dated 18.01.2010, directed TCP to refund the encashed performance guarantee amounting

to AED 1,239,000/- and further awarded damages of US\$ 3,465,000/- to the Company.

8. TCP challenged the aforementioned Award. The learned Single Judge of the Sindh High Court set aside the award of damages, while maintaining the direction for refund of the performance guarantee. The Division Bench of the High Court in appeal upheld this conclusion, *albeit* on different reasoning, holding that since delays in operationalising the LC were attributable to TCP, forfeiture of the performance guarantee was unjustified. Thus, the present appeal before us.

Issues:

9. Two crucial issues arise before us for determination, as set out below:

- i. Whether, in the facts and circumstances of the case, forfeiture of the performance guarantee by TCP was justified; and
- ii. Whether the Company is entitled to recover alleged losses of US\$ 3,465,000/-.

We proceed to consider and decide these issues *seriatim*.

(i) Whether, in the facts and circumstances of the case, forfeiture of the performance guarantee by TCP was justified?

10. Since the determination of this issue turns on the forfeiture of a performance guarantee, it is appropriate to first consider the general nature, scope, and legal treatment of such guarantees in commercial contracts. A performance guarantee is a contractual mechanism intended to secure the due and satisfactory performance of obligations undertaken under a contract. Such guarantees may take varying forms; some are unconditional, permitting invocation upon demand without

reference to the underlying dispute, while others are conditional, linked to the occurrence of specified contractual default. Likewise, a performance guarantee may exist as a collateral or ancillary instrument, such as a standalone bank guarantee, or may be incorporated directly into the parent contract itself as part of the agreed contractual framework. From a practical and commercial perspective, performance guarantees exist to ensure seriousness of contractual commitment, particularly in time-sensitive, high-value transactions.

11. As a performance guarantee essentially stipulates a sum or financial consequences upon breach or non-performance, its invocation attracts the application of Section 74 of the Contract Act, 1872 (hereinafter referred to as the “**Contract Act**”), which provides as follows:

74. Compensation for breach of contract where penalty stipulated for.–

When a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled, whether or not actual damage or loss is proved to have been caused thereby, to receive from the party who has broken the contract reasonable compensation not exceeding the amount so named or, as the case may be, the penalty stipulated for.

Notably, Section 74 of the Contract Act does not prohibit stipulations fixing a sum payable upon breach, nor does it require proof of actual loss, as a condition precedent to enforcement. Rather, it introduces a supervisory standard of reasonableness, limiting recovery to reasonable compensation not exceeding the amount stipulated. The provision, thus, strikes a balance: it respects commercial autonomy and the allocation of risk, while guarding against penalties that are unconscionable or disproportionate.

12. The manner in which Section 74 of the Contract Act applies to forfeiture clauses and performance guarantees is now well settled. While the provision permits recovery of a stipulated sum upon breach without proof of actual loss, it does not render such stipulations immune from judicial scrutiny. The court is required to examine whether the amount retained represents reasonable compensation in the circumstances, or whether its enforcement would operate as a penalty. The existence of a forfeiture clause or performance guarantee does not, by itself, entitle the beneficiary to retain the stipulated amount irrespective of surrounding circumstances. Courts retain the authority under Section 74 to interfere where the forfeiture is disproportionate or unconscionable, having regard to the nature of the contract, the conduct of the parties, and the context in which the breach occurred.¹ At the same time, the jurisdiction under Section 74 is not one of routine substitution of the opinion of the court for that of the contracting parties. The enquiry is not directed at whether some lesser amount might appear fair in hindsight, but whether the forfeiture is so excessive or harsh as to attract the character of a penalty. Absent such a finding, courts ordinarily give effect to the contractual allocation of risk, particularly in commercial transactions. In this context, forfeiture clauses fall within the expression “*other stipulation by way of penalty*” under Section 74; however, the said provision does not mandate reduction or refund in every case of forfeiture.² The controlling consideration remains whether retention of the amount would be unconscionable in the facts of the case. It then bears emphasis that the application of Section 74 depends fundamentally on a correct appreciation of the contractual framework and the factual circumstances relating to performance and breach.

¹ *Province of West Pakistan v. Messrs. Mistri Patel & Co.* (PLD 1969 SC 80)

² *Abdul Haq Khan Khattak v. WAPDA* (1991 SCMR 436)

Where material facts in this regard are misread or ignored, and such misreading or omission leads to an erroneous application of Section 74, the resultant conclusion is not a mere difference of opinion in the appreciation of evidence but partakes of the character of an error of law apparent on the face of the arbitral award.

13. Turning to the present case, the performance guarantee was an express and integral part of the contractual terms stipulated in Clause 10 and Clause 11 of the Contract, which are reproduced below:

10. PERFORMANCE GUARANTEE

- a. Successful bidder will be required to furnish a Performance Guarantee, for the due and satisfactory performance of the contract, equal to three (3%) of the value of the contracted goods, in the form of a Bank Guarantee from a Prime Bank, to be furnished in the prescribed form (Annex-V) in favour of Trading Corporation of Pakistan (Pvt.) Limited.
- b. The Performance Guarantee shall be furnished within seven (7) days of the date of acceptance of Bid of the Buyer.
- c. Satisfactory performance of the contract includes delivery of goods strictly according to the contract within the stipulated period of delivery at Karachi port and settlement of all claims.

11. FORFEITURE OF PERFORMANCE GUARANTEE

- a. The Buyer will have the right to forfeit the Performance Guarantee if the Seller:
 - i. Fails to supply the goods within the specified period
 - ii. Commits any breach of contract or fails to fulfill any terms or conditions of the contract
- b. The Performance Guarantee will be released to the suppliers on successful and satisfactory execution of the contract. No claim shall lie against the Buyer in respect of interest on Performance Guarantee regardless of the time of its release.

14. Importantly, Clause 10, as reproduced above, required the Company to furnish performance guarantee equal to three percent of the value of the contracted goods, expressly for the “*due and satisfactory performance of the contract.*” Clause 10(c) further defined satisfactory performance to include delivery strictly in accordance with the

contractual timeline, time being of the essence. Clause 11, in turn, conferred a clear contractual right upon TCP to forfeit the performance guarantee, if the Company failed to supply the goods within the “*specified period*” or committed any breach of the contract. While the expression “*specified period*” is not defined by reference to fixed calendar dates, the operative contractual framework indicates that shipment obligations were to run from the opening of the LC, with the first shipment required within fifteen days thereafter.

If the timeline is reckoned from the date of the operative LC, i.e. 06.10.2005, the first shipment would have fallen due within fifteen days thereafter. On that basis alone, non-performance within the “stipulated” contractual window would, in principle, attract the consequences contemplated under Clause 11. However, the contractual arrangement, as it evolved in actuality, also involved extensions and indulgences granted by TCP, the legal position of which is not clear from a reading of the above-reproduced clauses alone.

15. That position, however, is clarified by the prescribed form of the performance guarantee titled “**Form of Performance Bond**,” which was annexed to and formed an integral part of the contractual framework. The Form of Performance Bond constituted an unconditional undertaking by the issuing bank on behalf of the Company to secure due performance of the contract, and, in particular, provided as follows:

...

4. We understand that this guarantee is unconditional and that the sole judge for deciding whether the Seller has performed the contract and fulfilled the terms and conditions of the contract, will be the Buyer.
5. We further understand that any grant of time or indulgence to the Seller without reference to us shall not in any manner absolve us from liability to make payment to the Buyer as stipulated under this guarantee.

These terms make it clear that TCP was the sole judge of the contractual performance, a position not agitated by the Company before any of the forums below. The Company had, accordingly, undertaken that any grant of time or indulgence by TCP to the Company did not dilute or extinguish the enforceability of the performance guarantee. Read together with Clause 10 and Clause 11 of the Contract, the Form of Performance Bond sufficiently demonstrates that extensions or indulgences in performance did not operate as a waiver of TCP's right to invoke and forfeit the performance guarantee upon non-performance.

16. Thus, the relevant terms of the Contract before us leave little ambiguity as to the intention of the parties: the performance guarantee was to operate as a financial consequence of non-performance, independent of any subsequent assessment of loss. However, it is important to note that the mere fact that a quantified amount is stipulated does not conclude the inquiry. Section 74 of the Contract Act requires that, even where forfeiture is contractually permissible, the ultimate question remains: whether invocation of the stipulated sum is reasonable and conscionable in the circumstances. That inquiry, however, arises only after it is established that the contractual conditions for forfeiture have in fact occurred.

17. It is useful, at this juncture, to refer to the approach adopted by courts below. While examining objections to the arbitral award, the learned Single Judge expressly recorded that there had been a misreading and misappreciation of evidence by the learned Sole Arbitrator in relation to the performance guarantee. On his reading of the record, he reached the conclusion that forfeiture of the performance guarantee was justified on merits. However, the learned Single Judge

consciously refrained from setting aside the arbitral finding on this point. This restraint was not grounded exclusively in his understanding of the limited scope of judicial interference with arbitral awards. The determinative question he framed for himself was, thus, not whether forfeiture was justified on merits, but whether it resulted in a substantial or serious miscarriage of justice. Proceeding on the basis of the counterclaim set by TCP for damages had been rejected and not challenged, he concluded that, notwithstanding errors of law and fact, the conclusion of the arbitrator could not be disturbed within the narrow parameters of jurisdiction available to him.

18. The learned Division Bench of the Sindh High Court in Appeal, while maintaining the ultimate result, adopted a different line of reasoning. It attributed the dispute concerning the non-operational LC to the conduct of TCP and, on that basis, concluded that encashment of the performance guarantee was not justified. At the same time, it clarified that its reasoning was in addition to, and not in agreement with, the reasoning of the learned Single Judge. Thus, while both courts declined to interfere with the outcome, their underlying reasoning was not aligned.

19. The divergence in reasoning adopted by the courts below makes it necessary to restate the settled principles governing judicial interference with arbitral awards. It is well established that a court does not sit in appeal over an arbitral award and cannot undertake a reappraisal or re-evaluation of the evidence merely because it may have reached a different conclusion on the same material. Findings of fact recorded by an arbitrator are ordinarily final and binding, and a court is not entitled to substitute its own view simply on the ground that

another interpretation of the evidence is possible. It is also settled that a court cannot embark upon a roving inquiry to unearth errors in an arbitral award. Interference is justified only where an error or infirmity is demonstrable from the face of the award itself or from the material expressly referred to therein. If a finding is a possible and legally tenable view on the evidence before the arbitrator, it is immune from interference even if the court considers that the evidence could have been appreciated differently. However, these principles of restraint do not preclude judicial intervention where the arbitral finding is founded upon a misreading or non-reading of material evidence, or where the conclusion reached is based on an incorrect factual premise that directly vitiates the application of law. In such cases, the error ceases to be a mere matter of factual appreciation and assumes the character of a patent error of law.³ An arbitral award resting on such a foundation cannot be sustained on the ground of finality alone.

20. In light of the foregoing discussion, the determination of the present issue must proceed on a clearly structured inquiry. We must first examine: whether the finding recorded by the learned Sole Arbitrator on forfeiture of the performance guarantee is founded upon a correct application of the contractual framework and the governing law, or whether it is vitiated by a patent error of law apparent on the face of the award or from the material expressly relied upon therein. Only if such a legal infirmity is established does the scope of judicial restraint yield, requiring the Court to apply the governing statutory provision, particularly Section 74 of the Contract Act, to the undisputed contractual terms and material facts on record. It is with this limited

³ See detailed discussion in *Pakistan Railways vs. CCRC Ziyang Co. Limited* (PLD 2025 SC 706)

but structured approach that we proceed to examine the impugned finding.

21. Proceeding on the above framework, the question before us is not whether an alternative view of the evidence was possible, or whether this Court would, as a matter of first instance, have reached a different factual conclusion. The inquiry is a narrower one: whether the finding recorded by the learned Sole Arbitrator on forfeiture of the performance guarantee rests upon a legally sustainable application of the contractual terms and the governing law, or whether it discloses a patent error of law apparent on the face of the award or from the material expressly relied upon therein.

22. The operative finding of the learned Sole Arbitrator proceeds on the premise that, since the non-supply of urea was attributable to commissions and omissions on the part of TCP, it could not be said that the Company was in default, and that, consequently, TCP had no right to forfeit the performance guarantee, applying the principle that no party may be permitted to take advantage of its own wrong. The difficulty with this reasoning is primarily that it proceeds on a legally misdirected premise, as to the nature of contractual default under the governing terms of the Contract.

23. The contractual scheme, as already noted, did not treat default as a free-standing inquiry into attribution of blame in the abstract, but as a defined consequence of non-performance within the operative contractual timeline, as amended by mutual extensions. Once the parties, by conduct, extended time for performance, the legal question shifted to whether performance was rendered within that revised framework, and whether any legally cognisable justification subsisted

at the stage when performance ultimately failed. The impugned finding does not engage with this legally controlling question, and instead reverts to antecedent circumstances, which had already been absorbed into the restructured contractual timetable.

24. The learned Sole Arbitrator further concludes that the Company had “*made all arrangements*” for supply and was “*forced*” by TCP into a position of non-performance. However, this conclusion is not examined against the legally relevant fact that no supply was effected even after TCP had granted extensions of time for performance, nor against the Company’s own stated justification for non-performance, which rested on unfavourable market conditions and price escalation. The finding, thus, fails to correctly address the issue of causation, in that it erroneously treats TCP’s conduct as the operative cause of the Company’s failure to perform, without properly appreciating that the failure stemmed instead from the other conditions pressed by the Company.

25. More fundamentally, the impugned reasoning results in a conflation between fault attribution and “*contractual default under a performance guarantee regime*”. A performance guarantee under the contract is triggered by non-performance within the governing contractual framework. Once the contract has been extended, the legally operative condition is not whether one party bears responsibility for earlier impediments, but whether the obligation stood performed within the subsisting contractual period. By treating earlier conduct as determinative of the existence of default itself, the finding substitutes a non-contractual standard for the contractual triggering condition.

26. This misdirection assumes significance in the context of Section 74 of the Contract Act. The statutory inquiry under Section 74 is predicated on the existence of breach and the consequent operation of a stipulation in the nature of penalty or pre-estimated consequence. The provision then requires the court (or tribunal) to determine whether enforcement of the stipulated consequence amounts to reasonable compensation. The reasoning adopted by the learned Sole Arbitrator, however, never reaches this statutory stage in a legally coherent manner, as it negates the existence of default by reference to an incorrect legal test, rather than evaluating whether forfeiture upon established breach would be reasonable or unconscionable.

27. The invocation of the principle that no party may take advantage of its own wrong cannot, in law, operate as a substitute for the contractual framework governing performance. That principle is engaged only where wrongful conduct is shown to be the legally operative cause of non-performance within the subsisting contractual obligations. Where, as in the present case, the contractual timeline has been extended by mutual conduct, the relevant inquiry is not historical attribution of difficulty, but legal causation at the time performance fell due. The impugned finding does not undertake this analysis, thereby rendering its conclusion legally incomplete.

28. It may also be noted that the learned Single Judge, while identifying serious errors in the arbitral reasoning, declined to interfere on the ground that no substantial or serious miscarriage of justice would result from permitting refund of the forfeited amount. With respect, once the contractual breach is correctly appreciated and the forfeiture is tested against Section 74 of the Contract Act in its proper sequence, the contrary conclusion follows. Allowing refund in such

circumstances would relieve a defaulting party of the agreed consequence of non-performance after repeated indulgence, thereby distorting the contractual bargain itself. Such an outcome would, in our view, amount to a miscarriage of justice within the meaning articulated by the learned Single Judge.

29. Having noted that the arbitral finding on forfeiture proceeds on a misconceived application of the contractual framework and an erroneous legal premise as to default, it becomes necessary to consider the issue afresh in the proper application of Section 74 of the Contract Act. As noted earlier, Section 74 permits enforcement of a stipulated sum upon breach without proof of actual loss, subject to the controlling requirement that the amount retained must represent reasonable compensation and must not operate unconscionably. The inquiry under Section 74 of the Contract Act, is therefore, whether having regard to the nature of the contract, the conduct of the parties, and the purpose of the stipulation, retention of the stipulated amount in the forfeiture clause would be excessive or unjust.

30. Applying that standard to the present case, we find no basis to characterise the forfeiture of the performance guarantee as unconscionable. A performance guarantee securing only three percent of the contractual value in a high-value and time-sensitive public procurement transaction cannot, in ordinary commercial understanding, be regarded as unconscionable. It was intended to secure timely performance in a transaction involving the supply of an essential commodity under a time-sensitive public procurement framework. Time was declared to be of the essence, and the Company was afforded repeated extensions and indulgences without waiver of

contractual consequences. Despite this, no shipment was effected within the extended timelines for reasons not attributable to TCP.

31. For these reasons, we are satisfied that the finding recorded on forfeiture of the performance guarantee cannot be sustained in law. The conclusion reached therein is vitiated by a patent error of law arising from a misapplication of the contractual framework and the governing statutory provision, and therefore cannot be upheld.

(ii) Whether the Company is entitled to recover alleged losses of US\$ 3,465,000/-.

32. Turning to the second issue, it is necessary to first examine the nature of the transaction between the Company and its Supplier, which led to the alleged losses. Briefly stated, the Company sought to arrange upstream supply of urea in order to enable performance under the tender issued by TCP. To that end, it entered into a contract with the Supplier on 27.08.2005, i.e., prior to entering into the Contract with TCP. Indeed, according to the Company's own pleadings and the record, this arrangement was entered into expressly "in anticipation of" a contract with TCP. The Company thus voluntarily assumed obligations under an independent and agreement to which TCP was neither a party nor privy, even before entering into a contract with TCP. Subsequently, on 05.09.2005, the Company amended its contract with the Supplier so as to link performance thereunder to the transaction with TCP, which amendment led to an upfront payment of US\$ 3,465,000/- to the Supplier and stipulated that the remaining 70% would be secured by opening a letter of credit in favour of the Supplier upon issuance of an operative LC by TCP under the separate contract between TCP and the Company. The Company, however, never opened such letter of credit in

favour of the Supplier. As a result, the Supplier terminated its contract and forfeited the advance amount, which forfeiture now forms the basis of the claim of the Company for damages against TCP.

33. The aforesaid claim is untenable, both in law and on facts, for several reasons:

Firstly, the alleged loss of the Company arose out of a distinct and independent commercial arrangement voluntarily entered into by the Company with its Supplier, in anticipation of performance under the Contract with TCP, but without any contractual involvement, undertaking, or assumption of responsibility on the part of TCP. The initial contract with the Supplier predated the Contract with TCP, and even its subsequent amendment was merely the attempt of the Company to align its upstream obligations with its anticipated downstream performance. The decision to structure such upstream arrangements, and to make them contingent upon the establishment and operationalisation of the LC by TCP, was a matter of the Company's own commercial judgment and risk allocation. In the absence of any express contractual undertaking by TCP to underwrite or assume liability for such arrangement, the commercial consequences flowing therefrom must necessarily remain with the Company.

Secondly, the forfeiture of the advance amount cannot be attributed to the conduct of TCP, when the Company itself failed to open the requisite letter of credit in favour of the Supplier. In this regard, the fact that furnishing of the performance guarantee was the contractual trigger for subsequent obligations, including the opening of the LC by TCP, assumes particular significance. While the performance guarantee by the Company was contractually due by 07.09.2005, it was furnished

only on 13.09.2005. Notwithstanding this, under the amended arrangement with the Supplier, the Company had stipulated timelines that assumed shipment obligations would commence within fifteen days of 05.09.2005, thereby requiring the first shipment to be affected by 20.09.2005, i.e. even before the latest date by which the LC could have been opened under the Contract with TCP. The resulting misalignment between the Company's own upstream commitments and the downstream contractual framework was a consequence of its own structuring choices, and the attendant risk cannot be transferred to TCP.

Thirdly, , the Company cannot attribute the forfeiture to alleged deficiencies in the LC opened on 21.09.2005. The Company, on the basis of the said LC, issued instructions to the Supplier to proceed with performance. The consequences flowing from the Supplier acting upon those instructions, including termination of contract and forfeiture, therefore lie within the sphere of the Company's own responsibility and cannot be imputed to TCP.

Finally, it is of significance that by the time the Supplier forfeited the advance amount on 04.10.2005, the contractual timeline between the Company and TCP had already been consciously and mutually altered. Performance was thereafter governed not by the original schedule under the Contract dated 31.08.2005, but by the revised contractual sequence, which culminated in the opening of the operative LC on 06.10.2005. Shipment deadlines were thereafter extended by TCP on 25.10.2005, whereby the first shipment extended till 10.11.2005 and the second shipment up to 15.11.2005. The forfeiture by the Supplier on 04.10.2005 occurred prior to the expiry of those revised timelines. This temporal sequence demonstrates that the Company's inability to

secure supply had already crystallised within its own procurement chain, notwithstanding the subsistence of time under the extended contractual framework. In other words, the alleged loss was not consequential upon any actionable default by TCP, which continued to act in accordance with the revised contractual timeline, but reflected in intervening commercial failure within the independent arrangements of the Company.

34. It must be noted that, any upstream arrangements ought to remain entirely at the risk of the contracting party, who chooses to enter into them, and cannot be shifted onto the counterparty in the principal contract in the absence of any express contractual assumption of liability or indemnity. TCP neither guaranteed the procurement arrangements nor undertook any obligation to underwrite market fluctuations, supplier default, or commercial exposure arising in the supply chain of the Company. Losses arising from such upstream arrangements thus remain, in law, at the risk of the contracting party, unless expressly otherwise agreed to by the counterparty. The Supplier's termination and forfeiture of the advance amount paid by the Company constituted an intervening commercial event that breaks the chain of legal causation between the alleged conduct of TCP and the Company's claimed loss.

35. In these circumstances, the crucial link required to sustain an award of damages is wholly absent. The attribution of liability to TCP proceeds on a legally unsustainable expansion of contractual responsibility, effectively converting a performance guarantee under a sale contract into a warranty against the Company's upstream commercial risks. Both the learned Single Judge and the Division Bench

of the Sindh High Court were therefore correct in holding that the claim lacked any legally cognisable nexus with the conduct of TCP, and in setting aside the award to that extent.

Conclusion:

36. For the foregoing reasons, we hold as follows:

(i) The forfeiture of the entire amount of the performance guarantee by TCP was justified and reasonable in the facts and circumstances of the case.

(ii) The Company is not entitled to recover damages amounting to US\$ 3,465,000/- or any other amount from TCP.

37. Accordingly, the appeal of TCP is allowed. The judgments of the learned Single Judge and the Division Bench of the Sindh High Court, insofar as they direct refund of the performance guarantee, are hereby set aside. The decision on the claim of damages is upheld. Resultantly, the appeal filed by the Company stands dismissed as a whole.

Chief Justice

Judge

Judge

Announced in open court on 3rd July, 2026
at Islamabad.

Chief Justice

Approved for Reporting